

FEW EXAMPLES ^{of} ACCOUNTING POLICIES:

1. Basis of Consolidation

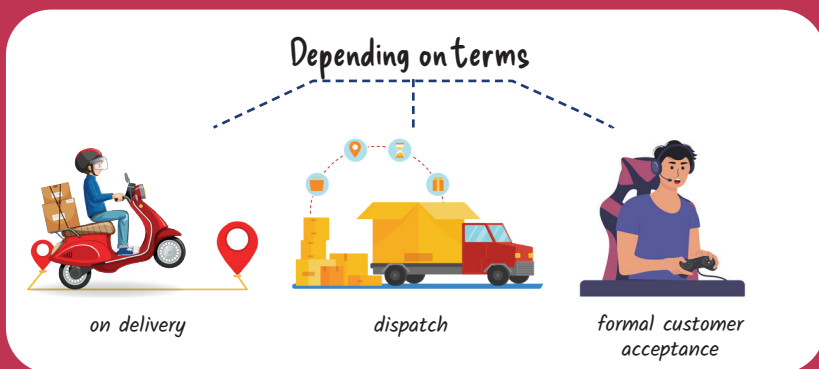
This includes how the subsidiaries and the joint ventures are treated and how their accounting is done.

With this, you will learn how the companies are creating or adding the various accounts of the subsidiaries. For business combinations, most companies use the acquisition method.

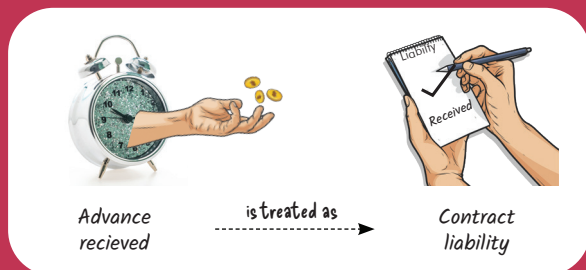


2. Revenue Recognition - Sale of Goods

Revenue is recognized when the company transfers control of goods to the customer and they no longer have any responsibilities or obligations to fulfill. This is generally on delivery.



This is when the performance obligation is satisfied, and the seller has no control over the inventory.



Thus, "control" plays an important part. Revenue should be recognized when control is transferred, and the seller has fulfilled all obligations.